# Ch. 5 Solutions

Principles of Microeconomics

June 23, 2026

## Quick Quiz

1. (a) – If a good is a necessity, that means there aren't many if any substitutes. Therefore consumers can't reduce their demand much in response to a price increase.

2. (d) – An increase in price leads to a decrease in total revenue if demand is elastic.

3. (d) – The elasticity of a linear demand curve is non-constant.

4. (c) – If the income elasticity of demand is 0.5, the decrease in income between Gondor and Rohan leads to a proportionately smaller decrease in $Q_D$. Since Rohan's income declines more than its quantity demanded relative to Gondor, Rohan must spend a higher fraction of its income on food.

## Questions for Review

1.

## Problems and Applications

1.